

Wealth Forecast & Readiness

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Quick-start guide — how the forecast works and how it decides you're ready to retire.

This tool projects your wealth from today to age 100 and tests whether you can retire — including **early**, before super unlocks. Everything updates live as you type. Work left-to-right: **Your Plan** → **Your Assets** → **read the results**. This guide explains the two things people ask most: **how each asset grows** (page 2) and **how "retirement ready" is decided** (below).

HOW TO USE IT — 3 STEPS

- 1 Fill in "Your Plan"**
Age now, the age you want to **retire**, your **preservation age** (when super unlocks — usually 60), and your **annual spending** in **today's dollars**. The readiness target is derived automatically as **34× spending**.
- 2 Add "Your Assets"**
Add what you own — **super**, **UniSuper Defined Benefit**, **shares**, **cash**, **investment property**, and your **home**. For each: balance, expected return, and (where relevant) contributions or loan + repayments.
- 3 Read your results**
The readiness cards tell you if you're on track (green ✓). The **Wealth Trajectory** chart shows the whole arc; the **Accumulation** and **Decumulation** tables show, year by year, what you hold and what you draw.

THE CORE IDEA

Retiring early has two problems

You can be *wealthy enough* yet still fail early retirement on **liquidity**. So the model asks two separate questions: (1) is there enough wealth overall, and (2) can you access enough of it *before* super becomes available?

Why the home is excluded

Your home earns no income unless you downsize or borrow against it — it's a lifestyle asset, not a retirement-funding asset. It sits outside the nest-egg tests (but its refinance capacity helps the bridge).

THE READINESS TEST — THREE QUESTIONS

You're **retirement ready** when both permanent checks (① & ②) pass **and** you clear the bridge (③) by either route. Everything is measured in **today's dollars**, at the first age you qualify, so figures line up directly with the targets.

1 Big-enough nest egg — the 34× rule

$$\text{Super} + \text{Shares} + \text{Cash} \geq 34 \times \text{Spending}$$

The classic financial-independence number. $34\times \approx$ a 2.9% withdrawal rate ($1 \div 34$), deliberately more conservative than the well-known "4% rule" ($25\times$) — because an early-retirement portfolio may need to last 40–50 years, and a lower draw leaves more safety margin. It answers: "if I stopped working permanently, do my productive assets fund my lifestyle?"

Example — \$60k spending → target = $60,000 \times 34 = \$2.04\text{m}$ in investable assets (home not counted).

2 Growth engine — the 27× rule

$$\text{Shares} + \text{Super} \geq 27 \times \text{Spending}$$

Cash alone can't sustain a long retirement — inflation erodes it. Enough of your money must stay **invested**. $27\times \approx$ a 3.7% capacity from growth assets. The gap between $34\times$ and $27\times$ is intentional: **$34\times$ tests sustainability, $27\times$ tests that the portfolio keeps growing.**

Why two checks — \$2m cash + \$1m shares/super *passes* ① but *fails* ②: too much dead capital. \$1.5m shares/super + \$100k cash may pass ② but fail ①: too little wealth. The pair guards against both failure modes.

3 Bridge to preservation — surviving until super unlocks

If you retire at 52 and super unlocks at 60, there are $x = 8$ years where super exists but you can't touch it. You must fund that gap from accessible money, plus a **security buffer** (extra years you set in Your Plan). Pass **either** route (x = years to preservation; **Cash Bucket** = cash + 80%-LVR home refinance):

③Ⓐ Split

$$\begin{aligned} \text{Shares} &\geq 27 \cdot x / (x+40) \\ \text{and Cash Bucket} &\geq 7x \end{aligned}$$

A two-stage portfolio: cash + home equity + some shares cover the bridge, then super takes over. The $x/(x+40)$ term is an early-retirement penalty — retire earlier, hold more liquid assets. **Retire at 52:** $8/48 = 17\% \rightarrow$ shares $\geq 4.5\times$ spending.

Retire at 59: $1/41 = 2.4\% \rightarrow$ barely any bridge.

③Ⓑ Bridge bucket

$$\text{Shares} + \text{Cash Bucket} \geq (x+\text{buffer})x$$

The simpler alternative: ignore portfolio design, just prove you hold enough accessible money to survive to super — plus a **security buffer** (extra years, set in Your Plan). **Retire at 52, 2-yr buffer, \$60k spend:** need $(8+2) \times 60\text{k} = \600k . \$350k shares + \$250k cash → passes.

After preservation age, $x = 0$ — the bridge clears automatically, so readiness is simply ① + ②.

Not financial advice — this is an educational planning sandbox to explore scenarios — a guide only. It is not financial, tax, or retirement advice. Check important decisions with a licensed adviser.

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How each asset grows

REFERENCE

What the projection does to every asset, year by year — plus assumptions.

Every asset compounds at its **own return** and, where relevant, receives contributions until you retire. Capital growth on super & shares is untaxed until sale; a share's **dividend** (if set) is taxed as income every year, separately from its capital growth.

THE ASSET TYPES

■ Super

Balance compounds at its return each year and receives contributions while you're working. Grows untaxed at the index rate; locked until **preservation age**.

$$\text{next} = \text{balance} \times (1 + \text{return}) + \text{contributions}$$

■ UniSuper Defined Benefit

Not a balance — an **entitlement** built from benefit salary × years of service × age & service factors, growing with salary growth and service. Any accumulation-account component grows at its own return. At retirement, choose: **invest** the lump sum — it's still super, but compounds at its own "expected capital growth %" assumption, separate from the rest of your super pool — or **defer to preservation**: it freezes and indexes at CPI only (no market return, no contributions) until preservation age, then converts into your pension pool.

$$\text{benefit} = \text{salary} \times \text{service} \times \text{factors}$$

■ Shares / ETF

Capital growth compounds untaxed (CGT deferred to sale) plus regular contributions (dollar-cost averaging). Optionally add a **dividend yield + franking %** — a fully-franked dividend nets ~full value at a 30% marginal rate, but can pay out as a **cash refund** once your rate drops below 30% (typically after retirement). Choose to **reinvest (DRP)** or sweep the after-tax dividend to cash. Milestones flag when annual **return** overtakes your annual **contribution**.

$$\text{next} = \text{balance} \times (1 + \text{growth}) + \text{contributions} + \text{dividend}(\text{net})$$

■ Cash & term deposits

Grows at its interest rate and can now take regular **contributions** too (same dollar-cost-averaging model as Super/Shares) — use this for a term deposit ladder or a short-duration bond ETF, not just idle cash. This is your **liquid, always-accessible** pool, and the source spending is drawn from first. Any asset's **"Only while working"** contribution toggle — checked (default) stops contributions at retirement; unchecked keeps them going every year to age 100.

$$\text{next} = \text{balance} \times (1 + \text{rate}) + \text{contributions}$$

■ Investment property

Value compounds at capital growth. Rent (value × yield) minus outgoings, loan interest and principal flows to cash — a rental loss gives a negative-gearing tax benefit. Sold at the sell age (default = retirement): CGT at the non-super rate (no 50% discount), net proceeds → cash. Table shows **equity = value - loan**.

$$\text{value} \times (1 + \text{growth}); \text{equity} = \text{value} - \text{loan}$$

■ Home (PPOR)

Value compounds at capital growth; the loan amortises as repayments pay it down. Equity rises from **both** sides. At retirement it can be refinanced to **80% LVR** to bank a cash buffer for the bridge.

$$\text{equity} = \text{value} - \text{loan}; \text{refi} = 0.8 \times \text{value} - \text{loan}$$

HOW THE PLAN ACTUALLY PAYS YOU IN RETIREMENT

① At retirement

Refinance the home to 80% LVR and bank the cash as a security buffer. Super & DB become the long-term engine.



② Bridge years (before 60)

Spending is paid from **cash**, topped up from **shares** as needed. Super stays locked and keeps compounding.



③ Pension years (after 60)

Super unlocks — spending is drawn from it (never below the ATO minimum drawdown), falling back to **shares** if super is ever exhausted.

TWO MORE THINGS TO KNOW

Today's \$ vs Future \$

Toggle at the top of the results. **Today's \$** = money you understand now (inflation stripped out). **Future \$** = the actual larger nominal numbers. Targets are always in today's money.

Stress-test it

Above the Wealth Trajectory chart, switch **Market Scenario** to **Bad** to lower every return by the swing, or enable **Sequence Shock** (a crash in a chosen year). If you still don't run out, you're robust.

▲ GOOD TO KNOW (ASSUMPTIONS)

Returns are fixed estimates, not real market volatility. Franking credits only become a net cash refund once your tax rate drops below 30% — why non-super tax has separate **while-working** / **after-retirement** rates (set in Your Plan). **Div 296** is tested per person, and its \$3m threshold is indexed with inflation. The 80% home refinance at retirement assumes a lender will offer it.